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9 July 2014

The Chief Executive
Nairobi Securities Exchange Limited
Exchange Building, Westlands
NAIROBI

Dear Sirs,

RE: HALF YEAR UN-AUDITED FINANCIAL RESULTS

We enclose herewith copies of the company's half year un-audited financial results for the six months ended 30 June 2014 together with the interim dividend as declared by the Board of Directors of British American Tobacco Kenya Limited on 9th July 2014.

Yours faithfully,

BRITISH AMERICAN TOBACCO KENYA LIMITED

**RUTH NGOBI
COMPANY SECRETARY**

Enc.

c.c. The Chief Executive
Custody & Registrars Services Limited
Bruce House
6th Floor
NAIROBI

The Chief Executive
Capital Markets Authority
Embankment Plaza 3rd Floor
Longonot Road, off Kilimanjaro Avenue, Upperhill
NAIROBI

HALF YEAR RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2014

The Directors of British American Tobacco Kenya Limited are pleased to announce the unaudited results for the six months ended 30 June 2014 as shown below:

Key highlights:

- Gross turnover Up by 11% to Shs 16.9 billion
- Contribution to government revenues Up by 8% to Shs 7.6 billion
- Net revenue Up by 14% to Shs 10.3 billion
- Profit before tax Up by 14% to Shs 2.6 billion
- Cash generated from operations Up by Shs 1.4 billion to Shs 2.1 billion
- Interim dividend At Shs 3.50 per share

The extracts of the financial statements are as follows:

Condensed Statement of Comprehensive Income for the six months ended 30 June 2014

	2014 Shs' m	2013 Shs' m
Gross turnover	16,848	15,154
Excise duty and VAT	(6,540)	(6,115)
Net revenue	10,308	9,039
Operating profit	2,658	2,340
Finance costs	(97)	(103)
Profit before tax	2,561	2,237
Income tax expense	(768)	(671)
Profit after tax	1,793	1,566
Dividend	350	350
Basic and diluted earnings per share (Shs)	17.93	15.66

Condensed Balance Sheet as at 30 June 2014

	2014 Shs' m	2013 Shs' m
Capital and reserves		
Share capital	1,000	1,000
Revaluation surplus	1,488	1,529
Retained earnings	3,527	3,235
Shareholders' funds	6,015	5,764
Non-current liabilities	2,649	2,024
	8,664	7,788
Assets		
Non-current assets	8,701	7,985
Working capital		
Current assets	8,619	8,366
Current liabilities	(8,656)	(8,563)
Net working capital	(37)	(197)
	8,664	7,788

Condensed Statement of Cash Flows for the six months ended 30 June 2014

	2014 Shs' m	2013 Shs' m
Cash generated from operations	2,112	674
Net interest paid	(90)	(78)
Tax paid	(816)	(691)
Net cash from operating activities	1,206	(95)
Net cash used in investing activities	(509)	(235)
Net cash used in financing activities	(3,350)	(2,900)
Decrease in cash & cash equivalents	(2,653)	(3,230)
At start of period	(294)	156
At end of period	(2,947)	(3,074)

Condensed Statement of Changes in Equity for the six months ended 30 June 2014

	Share capital Shs' m	Revaluation Shs' m	Retained earnings Shs' m	Total Shs' m
At 1 January 2013	1,000	1,529	4,569	7,098
Comprehensive income	-	-	1,566	1,566
Dividends	-	-	(2,900)	(2,900)
At 30 June 2013	1,000	1,529	3,235	5,764
At 1 January 2014	1,000	1,488	5,084	7,572
Comprehensive income	-	-	1,793	1,793
Dividends	-	-	(3,350)	(3,350)
At 30 June 2014	1,000	1,488	3,527	6,015

Business Performance

Gross turnover increased by 11% driven by incremental contract manufacturing volumes, the benefit of foreign exchange movements arising from export sales as well as an improved performance on the domestic market. Net revenue increased by 14% reflecting the improvement in gross turnover offset by higher Excise Duty and VAT.

Operating profit grew by 14% driven by revenue growth and supported by a stable cost of operations. Financing costs decreased by 6% as a result of lower exchange losses. Profit before tax consequently increased by 14% reflecting the higher operating profit and lower financing costs. Cash generated from operations increased by Shs 1.4 billion to Shs 2.1 billion reflecting the improved profitability as well as enhanced working capital management over the period.

Contribution to Government revenues in the form of Excise Duty, VAT, PAYE and Corporation tax increased by 8% over the prior period to Shs 7.6 billion. This increase was driven by higher Excise Duty and VAT contributions from the domestic business as well as higher total Corporation tax.

Engagements with enforcement agencies and other relevant stakeholders continue in order to reduce the negative impact of illicit trade in tobacco and cigarettes. These efforts, together with sound regulation and an optimal excise regime will safeguard Government and Industry revenues on a sustainable basis.

We continue to invest in the Nairobi manufacturing hub in line with our long term strategy to enhance the capabilities and drive cost competitiveness of the factory. In the six months to 30 June 2014, we invested over Shs 500 million to enhance factory capacity and to support the incremental contract manufacturing volumes coming primarily from the Democratic Republic of Congo.

Dividend

The Board of Directors have recommended an interim dividend of Shs 3.50 per Shs 10 ordinary share in respect of the year ending 31 December 2014. The interim dividend, which is subject to withholding tax, will be paid on 15 September 2014 to the shareholders on the register at the close of business on 11 August 2014.

Nairobi
9 July 2014

By Order of the Board
RT Ngobi
Company Secretary